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BayPlus gets new criteria

BayBank ups minimum, revamps features for preferred customers

By Chris Reidy
GLOBE STAFF

Joining a growing trend among banks, BayBanks Inc. yesterday unveiled a special consolidated account for its best customers.

Revising its BayPlus Banking program, BayBank will offer an array of time-saving features, preferential rates and the waiver of some banking fees to customers who bring more of their business to its BayBank franchise of banks.

Karen B. Green, a senior executive vice president for BayBank, described the upgrade program as a "reward" for good customers and an enticement to potential customers.

Other banks, including Fleet Financial Group Inc. and Bank of Boston Corp., have recently offered similar products that seek to consolidate accounts while expanding services and cutting fees.

To ensure preferential service, BayBank is dedicating teller windows at nearly half of its branches and a special telephone line for the exclusive use of BayPlus Banking customers.

First established in 1989, the BayPlus Banking program required customers to maintain deposits in either savings or checking accounts that totaled $10,000 or more.

The revised BayPlus Banking program pushes the minimum threshold to $25,000 but takes into account deposits, investments and credit balances, including personal loans, home equity loans and 5 percent of mortgage balances.

Existing BayPlus Banking customers will have until August to comply with the new qualifications.

Banks have offered more of these services in response to mergers and competition from mutual funds and other nonbank financial institutions.

The consolidated accounts also offer banks a way to address some consumer complaints about rising fees.

According to an August study by MassPIRG, the consumer advocacy group, banking fees have increased by at least 10 percent nationwide over a two-year period.

In December, Bank of Boston announced plans to buy BayBank for $2 billion. The deal is expected to close this year.

Apple shares fall as deal hopes fade

ASSOCIATED PRESS

NEW YORK – Apple Computer Inc.'s stock dropped 6 percent yesterday, edging closer to the $23 price at which Sun Microsystems Inc. reportedly made a takeover offer last week.

Apple shares closed down 1% to 27¼, a 6 percent drop, on the Nasdaq market. The decline followed a 5 percent drop Monday as investor hopes faded that a better takeover offer would emerge for the company.

The stock had been buoyed last week by conflicting reports about Sun's interest in Apple, including one which said the workstation maker had offered $33 per share.

"This is not a shoestring operation. This will be a full-service, real-amenity, real airline."

MARTIN SHUGRUE, *Pan Am chief executive*

Workers move the original sign from the old Pan Am building in New York for yesterday's launch of the new Pan Am airline. AP PHOTO

Pan Am set for new takeoff

New entity combines old globe logo, new foreign partners

By Sheri Prasso
ASSOCIATED PRESS

NEW YORK – Investors hoping to capitalize on nostalgia for Pan Am's glory days unveiled a strategy yesterday to get the airline flying again by allying with small foreign carriers and keeping costs low.

The old Pan Am folded in 1991. The new entity will resurrect the blue globe logo and bring aboard some of Pan Am's old employees, including Martin Shugrue, the carrier's former chief operating officer and now its president and chief executive.

Aiming to have the lowest operating costs in the industry, the new Pan Am hopes to profit by connecting international passengers to and from foreign airlines landing in New York and Miami.

"This is not a shoestring operation," Shugrue said. "This will be a full-service, real-amenity, real airline."

The new Pan Am hopes to be in the air within six months, flying newly leased planes bearing its logo. Pan Am's assets were sold off following its closure and all that remains is the name.

Six European and Latin American airlines are among the foreign partners that have already sold $25 million worth of seats on yet-unscheduled Pan Am flights, Shugrue said. But speaking at a news conference, he said it was too early to reveal their identities.

The Pan Am president said there are numerous small, foreign airlines that want to be able to send their passengers on to US cities such as Miami or Los Angeles, much in the same way Northwest transports KLM passengers.

"We need to garner only a small percentage of these passengers to become profitable within the first year," he said. "At a nickel-a-mile or less cost, we can last a long time at fares our competitors would find uneconomical."

Pan Am is aiming for an operating cost of 4.8 cents per passenger, per mile. Airline analysts say eight to nine cents per mile is the industry standard, and new start-ups hope to achieve 7.5 cents per mile to be profitable.

The new Pan Am will operate out of New York's John F. Kennedy Inter ational Airport and Miami International Airport. It will offer daily Miami-New York, New York-San Francisco and New York-Los Angeles flights starting sometime in the summer.

Chicago, San Juan, Puerto Rico and possibly Havana will be added in later phases. Shugrue did not rule out further international operations, once the airline's cornerstone. Pan Am was the first carrier to fly around the world.

BOSTON CAPITAL
Steve Bailey & Steven Syre

Vanguard issues fee challenge

COMPETITORS TAKE NOTE: Vanguard Group chairman John Bogle may be in a Philadelphia hospital awaiting a heart transplant, but the sermon he's been preaching for 20 years hasn't changed.

If Vanguard can cut fees, he said in a telephone interview yesterday from the hospital, why can't the rest of the industry? "That's the question of the day," he says.

Bogle has again put his money where his mouth is, announcing that the No. 2 mutual fund company in the country would again be cutting fees even as they continue to rise industrywide.

Vanguard, already the low cost leader, said it was immediately reducing the annual advisory fees on 17 actively managed stock and bond funds, representing a total of $50 billion under management. The cuts will amount to about $10 million a year, or about 18 percent on average.

Don't look for a stampede to follow. Despite the explosion of mutual fund assets, there has not been the accompanying economies of scale that Bogle and others say should lower costs to investors.

According to Morningstar Inc., investors today are charged an average of $96 a year for each $10,000 invested, up from about $71 in 1980. "Once you have a certain management fee set up and people don't complain about it, there is no incentive to cut it," says Amy Arnott, editor of Morningstar Mutual Funds. "Especially when the fee is going directly to the companies."

This is an industry rich in fees: management fees, custodian fees, "12b-1" fees. And the list goes on. Mutual fund companies say they have been forced to raise management fees to pay the rising costs of portfolio managers and research in a highly competitive industry.

Jon Teall, a spokesman for Lipper Analytical Services, believes the problem is not nearly as bad as Morningstar suggests; he cites numbers indicating the largest funds have the lowest fees. In the last three years 585 funds have increased advisory fees while 887 have reduced them, Lipper says.

"The guys who are in the position to have the lower fees – the big guys – do have lower fees," Teall says.

Not nearly low enough, Bogle believes. In its latest salvo, Vanguard has renegotiated its fees paid to outside advisers who manage its active stock and bond funds. Its $100 million in internally managed funds, such as its index funds, aren't affected.

Vanguard's John Bogle

Investment managers such as Boston-based Wellington Management Co. will feel the impact. The advisory fee for the $13.6 billion Windsor fund was cut 20 percent; the $12.6 billion Wellington fund took a 10 percent cut. The fees for the Wellington funds and those of other managers can vary substantially under the new deal depending on performance.

"Wellington is not going to be happy," says Richard Chinberg, editor of Investment Management Weekly. Adds Chinberg: "Vanguard is obviously a coveted account. But not at any price. That is the issue."

Says Bogle: "These are rot chintzy fees. I don't know portfolio managers who get this kind of money – except maybe at Fidelity," his No. 1 competitor. (Fidelity's management fees, for the record, average 0.66 percent of assets compared with the industry average of 0.75 percent.)

If lower fees are Bogle's passion, even he will admit that it is not a passion shared, at the moment anyway, by enough investors, who instead have their eyes on the kind of 30 percent-plus returns stocks produced last year. In that environment investment advisory fees on stock mutual funds look like small potatoes indeed.

"In these kinds of markets people don't focus on costs," Bogle says.

For now, he admits, "we are a leader without a follower." ■

The Red Herring

Iron Mountain Inc., the big Boston document-storage company, is about launch an initial public stock offering that should raise about $40 million.

Iron Mountain is offering 2.3 million shares expected to be priced this week at $16 to $18 each. Existing stockholders are expected to sell another 2.4 million shares into the offering.

Insiders and investors will still own about 45 percent of Iron Mountain after the offering, including a 36.4 percent stake held by Schooner Capital Corp. of Boston and its chairman, Vince J. Ryan.

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Dole seeks to remove communications bill impasse

Debate rages on free use of new public airwaves

By Aaron Zitner
GLOBE STAFF

WASHINGTON – Senate Majority Leader Bob Dole, seeking to remove an impasse of his own construction that has blocked a major telecommunications bill, may propose that Congress delay debate on a controversial provision favored by TV broadcasters.

The telecommunications bill would rewrite the nation's telephone and broadcast laws. Negotiators struck a deal last month to resolve House and Senate versions of the complex legislation, and the White House said it backed that agreement.

But Dole, a Kansas Republican and presidential candidate, has been holding up the bill.

He has argued that the bill would "give away billions of dollars" to TV broadcasters by allowing them free use of new sections of the public airwaves. Dole wants those sections of the airwaves to be auctioned instead.

Broadcast lobbyists said yesterday Dole may release the bill so that lawmakers can begin debate on it tomorrow. However, Dole would also propose a resolution that would bar the Federal Communications Commission from granting the additional airwaves to broadcasters without approval from Congress.

In effect, Dole's ...esolution would delay FCC plans to give broadcasters new airwaves, marking a major defeat for the broadcast industry, one lobbyist said.

The FCC and broadcasters have been working on the new airwaves plan for nearly a decade. Broadcasters want to use the new spectrum to offer so-called "advanced television services" or "digital services," such as high-resolution pictures. Broadcasters also may use the new spectrum to broadcast newspapers and advertisements to televisions of the future, and to offer such services as paging.

Under the FCC and broadcasters' plan, TV stations would be given the "digital" airwaves for free. For as long as 15 years, they would broadcast in both the current "analog" format and new digital for...at, giving viewers time to buy the television sets they will need to see the new digital pictures.

Then, broadcasters would end their "analog" broadcasts and return their current spectrum to the government, which would auction it off to raise money.

But critics of that plan say the government should auction the so-called digital spectrum, hold the auction in the near future and allow any company – not just existing broadcasters – to bid.

Rep. Edward Markey, a Democrat from Massachusetts, said there was no compelling reason to delay broadcasters from receiving new airwaves for "advanced television services." Broadcasters should receive the airwaves because they, unlike cable operators, provide a free service, he said.

Moreover, the telecommunications bill as it now stands would:

- Require broadcasters to use the new airwaves in "the public interest," an element of current law that has allowed regulators to limit the number of commercials and require educational programming for children.
- Require broadcasters to pay the government if they use the new airwaves for anything other than free services. If TV stations start subscription newspapers or paging services, the government would receive a fee.

Menino urges Kerry to block passage of telecom bill

By Hiawatha Bray
GLOBE STAFF

Just days before a scheduled vote in Congress on a major telecommunications reform bill, Mayor Thomas M. Menino is urging US Sen. John Kerry to block passage of the bill.

Menino says that the bill that is emerging from a House-Senate conference committee forbids cities and counties from charging fees to telecommunications firms that want to lay cables in public rights-of-way.

In a letter to Kerry, Menino called the bill's current language on rights-of-way "extremely alarming." And with growing numbers of businesses seeking to install high-tech communications networks, Menino also fears that the legislation could be expensive.

Boston's cable television provider, Cablevision of Boston, pays 3 percent of its gross revenues to the city. Scott Dunlay, director of Boston's office of cable communications, said this amounts to about $1.6 million a year. But federal deregulation could allow other firms to come into Boston and offer cable service, without having to pay any fees to the city.

"This agreement imposes an unfunded federal mandate on cities and counties just weeks after the unfunded mandate law took effect," Menino wrote to Kerry.

Howard Leibowitz, director of the office of intergovernmental relations, suggested that Boston could sue under the mandates law if the telecommunications bill is passed without changes.

Michael Meehan, communications director for Sen. Kerry, said that the senator has not yet received a copy of the conference committee report and therefore could not respond to Menino's concerns.

Mayor Menino yesterday also announced formation of a technology advisory committee that will evaluate ways to improve the city's use of the latest computer and information technology. The committee will focus on ways to use computer net...rk technology to better deliver city services, and also on ways to improve Boston's communications networks to attract new businesses to the city.

The committee will be chaired by JoAn Cullinane, president of the Cullinane Group Inc., a firm that invests in high-tech companies. Also serving will be Jerry Meckling of the Kennedy School of Government at Harvard; Gary Beach, president of Computerworld magazine; Ken Granderson, president of Inner City Software; Charlotte Kahn of The Boston Foundation; Charles Wu, managing director of the Harvard Private Capital Group; and Michael Horton, chief information officer of the city of Boston.

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